4.3 Profit, Loss, Discount, Overhead Expenses and GST

4.3.1 Profit and Loss



Try these

1. If the selling price of an article is less than the cost price of the article, then there is a _____.
2. An article costing ₹5000 is sold for ₹4850. Is there a profit or loss? What percentage is it?
3. If the ratio of cost price and the selling price of an article is 5:7, then the profit/ gain is_____%.

Cost Price (C.P)

The amount for which an article is bought is called its ***Cost Price*** (C.P).

Selling Price (S.P)

The amount for which an article is sold is called its ***Selling Price*** (S.P).

Profit or Gain

When the *S.P* is more than the *C.P,* then there is a ***profit or gain***.

Therefore, Profit/Gain = S.P – C.P

Loss

When the *S.P* is less than the *C.P,* then there is a ***loss***.

Therefore, Loss = C.P – S.P

It is to be noted that the profit or loss is always calculated on the cost price.

Formulae:

(i) Profit or Gain % $= \left(\frac{Profit}{C.P} \times 100\right)\%$

(ii) Loss % $= \left(\frac{Loss}{C.P} \times 100\right)\%$

(iii) Selling Price, S.P $= \frac{(100 + Profit\%)}{100} \times$ C.P (or) Cost Price, C.P $= \frac{100}{(100 + Profit\%)} \times$ S.P

(iv) Selling Price, S.P $= \frac{(100 - Loss\%)}{100} \times$ C.P (or) Cost Price, C.P $= \frac{100}{(100 - Loss\%)} \times$ S.P

4.3.2 Discount

During the month of Aadi and festival seasons, shopkeepers offer a certain percentage of rebate on the marked price of the articles in order to increase the sales and also to clear the old stock. This rebate is known as ***discount***.

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